NVIDIA Beat Everything. The Stock Is Down. Why.

Jensen disclosed $20B in new CPU revenue excluded from the $1T demand signal. FY2028E consensus at $551.7B doesn't include it either. Here's why.

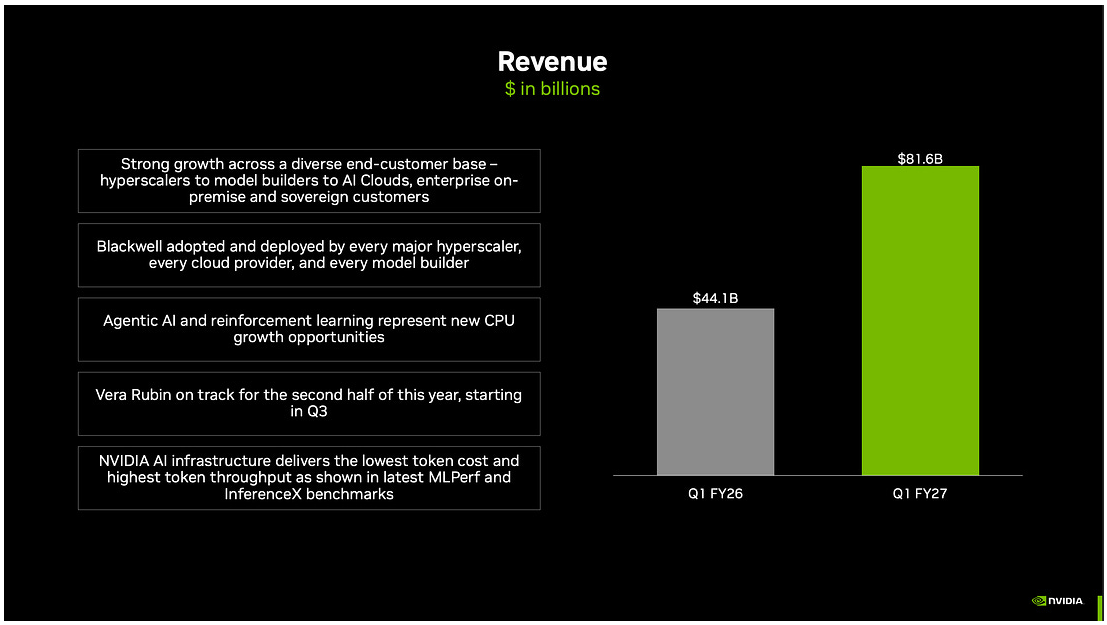


PRIMARY SOURCE ARBITRAGE

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The Quarter

On May 20, NVIDIA reported Q1 FY2027. Revenue of $81.6 billion, up 85% YoY. The **third consecutive quarter of accelerating YoY growth**, from 55.6% in Q2 FY26 to 62.5% in Q3 FY26 to 73.2% in Q4 FY26 to 85.2% in Q1 FY27. If the Q2 guide of $91 billion holds against Q2 FY26 actuals of $46.7 billion, the acceleration extends to a fourth consecutive quarter at approximately 95% YoY. Data Center revenue of $75.2 billion, up 92% YoY. Networking revenue of $14.8 billion, up 199% YoY. Free cash flow of $48.6 billion in a single quarter. **Q2 guidance of $91 billion against street consensus of $88.3 billion.**



Q1 FY26 vs Q1 FY27 revenue. Source: NVIDIA Q1 FY2027 Investor Presentation, May 2026.

The stock closed at $223.47 on May 20. By May 21, it was $219.51. It sits at $200.04 today, five weeks after the print.



NVDA Daily, April 8 to June 23, 2026. Source: TradingView

Why the Stock Doesn’t Move on Confirmation

The answer is structural, not analytical.

Vivek Arya at Bank of America documented the pattern the morning of the print. NVIDIA’s stock has declined after three of the last four earnings calls. He named it, expected it to continue, and chose to look through it. He upgraded the price target from $320 to $350 the same day. The most informed bull on the street saw the result coming and upgraded anyway. Upgrading into a known post-earnings fade is not irrational behavior. **It reflects a mechanical constraint on who can move the stock.**

At 8.3% of the S&P 500 index and approximately 78% active fund manager ownership, NVIDIA is one of the most fully owned large-cap positions in the market. Every fund manager with the mandate and risk tolerance to own it already does. The incremental buyer on any given day is index rebalancing flows and retail. Neither reads the Q1 transcript. Neither sizes up on a $20 billion CPU disclosure.

The constraint is positional, not analytical. Every analyst has read the same transcript. **The gap is not information asymmetry. It is methodology.**

Sell-side models for large-cap technology companies are built as top-line extrapolations from guidance plus sequential growth assumptions. When NVIDIA guides $91 billion for Q2, a model for FY2028 extrapolates a revenue trajectory from that number using sequential growth assumptions. **A new revenue line with no prior quarterly disclosure, no reported growth rate, and no historical margin to assign cannot be built into a model with conviction.** The analyst can write in a note that Vera CPU implies a $50 billion-plus annual run-rate by FY2028. They cannot put that number in a discrete segment model

until it prints in a Form 10-Q. **A blank cell requires an assumption with no data behind it.**

This is why FY2028E consensus moved from $491 billion to $551.7 billion in the five weeks after the Q1 print and stopped there. **The revision captured the upward extrapolation from the $91 billion Q2 guide. It did not capture the new revenue architecture management explicitly disclosed on the same call.**

On the floor: NVIDIA announced an $80 billion share repurchase authorization in addition to $39 billion remaining as of Q1. In Q1 alone, 108 million shares were repurchased for $20.2 billion at a weighted average price of $186.52 per share, below the current price of $200.04. This does not create a price catalyst. **It creates a mechanical floor as the float compresses and amplifies any eventual re-rating driven by earnings estimate revision.** The positional ceiling and the buyback floor are the same structural argument from opposite directions. Which raises the obvious question: if the buyer universe is exhausted, how does the stock re-rate at all?

The re-rating does not require a new marginal buyer. It requires existing holders to reprice as the consensus EPS estimate climbs. Every mega-cap re-rating in the past decade followed this pattern: no meaningful expansion of the buyer universe, estimates revised upward, existing holders raised their price targets, and the stock followed. The price target upgrades since May 20 reflect guide extrapolation. The upgrade that moves the stock reflects a new segment line in the 10-Q. Those are different events. **At $5 trillion and 16.71x NTM EV/EBITDA, the lowest forward multiple in five quarters, NVIDIA is priced as if the new revenue architecture does not exist.** The estimate revision is what changes that.

What Jensen Said That Isn’t in the Model

Jensen Huang addressed the scope of the $1 trillion demand signal directly on the Q1 call. Vivek Arya asked whether the $20 billion CPU figure was standalone or included in the $1 trillion Blackwell and Rubin visibility. Jensen verbatim, May 20, 2026:

> **“The $20 billion is for stand-alone CPU.”**

Then, answering James Schneider at Goldman on what sits above the $1 trillion:

> **“Number two, we didn’t include any Vera CPU, stand-alone CPU in that number. And so I expect that to be the second largest.”**

The $1 trillion covers Blackwell plus Rubin revenue from calendar 2025 through end of 2027. **The Vera CPU standalone is explicitly incremental to that number.** Jensen ranked it second among incremental growth drivers, behind frontier AI model share growth and ahead of Groq LPX, physical AI, and sovereign AI.

Arya’s June 1 Computex note extrapolated the trajectory: NVIDIA is “expected to become the largest server CPU vendor by next year (FY28) at a ~$50bn+ annual run-rate.” Aaron Rakers at Wells Fargo, writing the most technically detailed note on the Vera CPU architecture the same day, has FY2028E non-GAAP EPS at $12.10. Arya has FY2028E non-GAAP EPS at $13.27. Both analysts have read the same primary sources. The $1.17 per share difference, approximately $28 billion in aggregate net income on 24.4 billion diluted shares, reflects genuine uncertainty about one variable: Vera CPU ramp velocity. Not about whether the revenue exists. About when it appears in a quarterly 10-Q disclosure and at what initial run-rate.

The current FY2028E consensus of $551.7 billion incorporates the Q2 guide extrapolated forward. It does not incorporate a discrete Vera CPU segment because the Form 10-Q reporting architecture to support one does not yet exist.

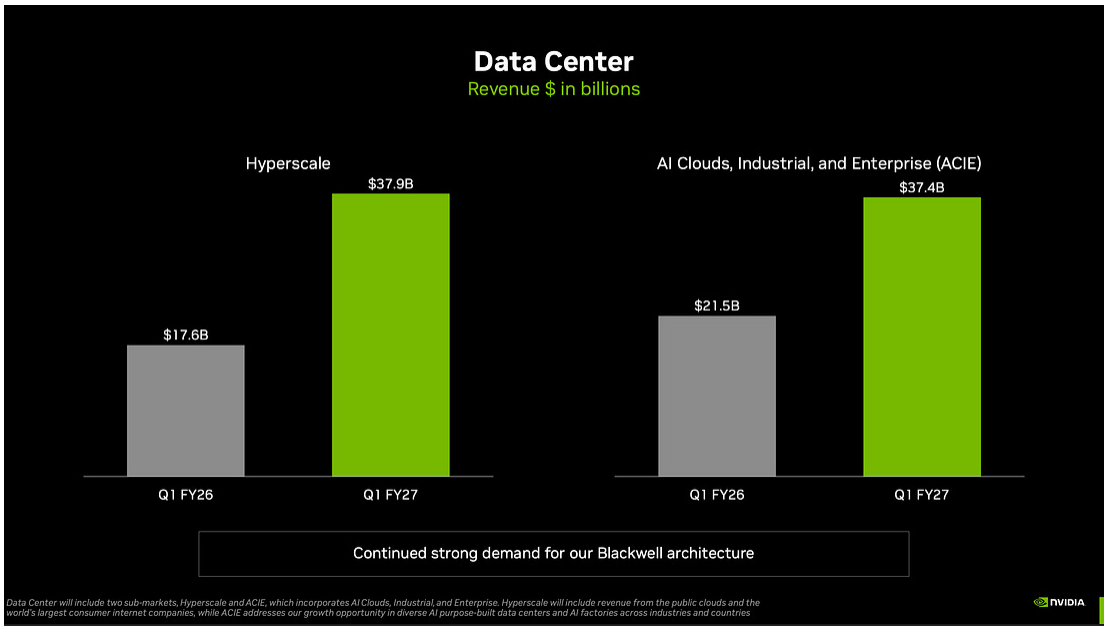
The Other Lines That Aren’t in the Model

The Vera CPU standalone is the most citable instance of the pattern. It is not the only one.

Physical AI exceeded $9 billion in trailing twelve-month revenue as of Q1 FY2027. It is not a discrete reporting segment. It appears in a single sentence in the press release. **No published model has a physical AI line.**

Sovereign AI exceeded $30 billion in FY2026 and more than tripled YoY. It is disclosed within the ACIE segment alongside AI clouds and enterprise. **There is no standalone sovereign line in any quarterly filing.**

The Q1 FY2027 Form 10-Q introduced the ACIE versus Hyperscale segment split for the first time. ACIE at $37.4 billion, Hyperscale at $37.9 billion, approximately equal. ACIE grew 31% QoQ. Hyperscale grew 12% QoQ. The primary bear case on NVIDIA requires custom silicon from hyperscalers to displace GPU demand. For that thesis to work, Hyperscale must be the dominant growth driver and must be accelerating. **The 10-Q shows the opposite: ACIE, the segment where custom silicon has no foothold because ACIE customers lack the engineering capacity to build their own chips, is the faster-growing half of the business and growing at 2.5 times the pace of Hyperscale.** The displacement thesis requires concentration in the segment that is demonstrably decelerating relative to the segment where it cannot operate. **The primary source falsifies the primary bear mechanism in two data points from a single 10-Q page.**



ACIE Revenue VS. Hyperscale. Source: NVIDIA Q1 FY2027 Investor Presentation, May 2026.

Arya's June 5 note after the BofA CFO keynote added the content per gigawatt trajectory: approximately $40 billion per GW for Blackwell, $60-80 billion for Vera Rubin, and approximately $100 billion for the Feynman generation. Each generation adds chips and racks to the system, seven chips across five racks for Vera Rubin versus one compute rack for Blackwell. **Because NVIDIA designs every chip in the stack internally, the cost base does not scale proportionally with the revenue each generation adds.** That is why non-GAAP gross margin guidance for Q2 is 75%, flat with Q1, across an architecture transition. Kress verbatim at the BofA conference on June 4, 2026:

> **"Nothing as we see moving forward changes to where we are today."**

What Breaks the Thesis

The thesis fails structurally if Vera CPU appears in the Q4 FY2027 or Q1 FY2028 Form 10-Q and the reported revenue implies a run-rate materially below $50 billion annually. If Jensen's $20 billion in H2 FY2027 visibility proves accurate, but the ramp decelerates sharply into FY2028, the FY2028E revision from $551.7 billion toward $620 billion does not occur at the magnitude required to move the multiple.

Quantified break conditions:

Non-GAAP gross margin below 72% for two consecutive quarters during the Vera Rubin ramp. Current Q2 guide is 75%. A 300 basis point compression within one architecture transition would be anomalous against the Hopper-to-Blackwell history and signals that the content-per-GW expansion thesis is impaired. Exit review immediately.

ACIE/Hyperscale split reversing: Hyperscale reaccelerating above 25% QoQ while ACIE decelerates below 15% QoQ for two consecutive quarters. This would signal the demand diversification documented in the Q1 10-Q is temporary rather than structural.

Any hyperscaler explicitly framing custom silicon as primary AI training compute on two consecutive earnings calls combined with a sequential decline in Hyperscale revenue. No hyperscaler has said this as of Q1 2026 earnings season. The existing disclosures describe custom silicon as a component of a diversified compute strategy, not a replacement for NVIDIA infrastructure. If that language changes, the bear case reactivates.

Vera CPU shipments delayed beyond Q1 FY2028 per any management statement extends the thesis rather than ending it. The forcing function date moves. The mechanism does not change.

The Close

Jensen ranked the growth drivers above the $1 trillion on the May 20 call. Vera CPU standalone is second. FY2028E consensus is $551.7 billion. The $1 trillion covers Blackwell and Rubin through end of 2027. It does not include Vera CPU. **The consensus model does not include it either, because the methodology requires a Form 10-Q line to anchor from.**

Kress confirmed Vera Rubin initial shipments begin Q3 FY2027, with volume ramp in Q4. Q1 FY2028 is “going to be very big,” her words. **The first Vera CPU revenue line appears in the Form 10-Q at scale in Q4 FY2027 at the earliest, Q1 FY2028 more likely. The estimate revision follows.** The mechanism is documented. The date is the variable.

Pushback welcome.

Disclosure: I hold a position in NVIDIA. This material is for informational purposes only and does not constitute investment advice. All figures sourced from: NVIDIA Q1 FY2027 earnings call transcript, May 20, 2026, Jensen Huang and Colette Kress verbatim; NVIDIA Q1 FY2027 earnings press release and Form 10-Q, quarter ended April 26, 2026; NVIDIA Q1 FY2027 investor presentation, May 2026; Bank of America Global Research NVIDIA note, May 20, 2026, Vivek Arya; Bank of America Global Research NVIDIA Computex note, June 1, 2026, Vivek Arya; Bank of America Global Research NVIDIA CFO keynote note, June 4, 2026, Vivek Arya; Wells Fargo Securities NVIDIA note, June 1, 2026, Aaron Rakers; TIKR Terminal forward estimates, revenue consensus and multiples as of June 23, 2026; Yahoo Finance and TradingView historical price data, May 20 through June 23, 2026.